

the good artists have their fingers tied together, etc.) so as not to upset the less skillful.

I'm also reminded of the little slips of paper that say "Inspected by 4" that are stuck inside the pockets of new shirts. The "Inspected by 4" method is how stocks are selected from the lists. The would-be decision-makers hardly know what they are approving. They don't travel around visiting companies or researching new products, they just take what they're given and pass it along. I think of this every time I buy shirts.

It's no wonder that portfolio managers and fund managers tend to be squeamish in their stock selections. There's about as much job security in portfolio management as there is in go-go dancing and football coaching. Coaches can at least relax between seasons. Fund managers can never relax because the game is played year-round. The wins and losses are reviewed after every third month, by clients and bosses who demand immediate results.

It's a bit more comfortable on my side of the business, working for the general public, than it is for the managers who pick stocks for their fellow professionals. Shareholders at Fidelity Magellan tend to be smaller investors who are perfectly free to sell out at any time, but they don't review my portfolio stock-by-stock to second-guess my selections. That's what happens, though, to Mr. Boon Doggle over at Blind Trust, the bank that's been hired to handle the pension accounts for White Bread, Inc.

Boon Doggle knows his stocks. He's been a portfolio manager at Blind Trust for seven years, and during that time he's made some very inspired decisions. All he wants is to be left alone to do his job. On the other hand, Sam Flint, vice president at White Bread, also thinks he knows his stocks, and every three months he casts a critical eye over Boon Doggle's selections on White Bread's behalf. Between these strenuous three-month checkups, Flint calls Doggle twice a day for an update. Doggle is so sick of Flint he wishes he'd never heard of him or of White Bread. He wastes so many hours talking to Flint about picking good stocks that he has no time left to do his job.

Fund managers in general spend a quarter of their working hours explaining what they just did—first to their immediate bosses in their own trust department, and then to their ultimate bosses, the clients like Flint at White Bread. There's an unwritten rule that the bigger the client, the more talking the portfolio manager has to do to please him. There are notable exceptions—Ford Motor, Eastman Kodak, and Eaton to name a few—but in general, it's true.

Let's say that the supercilious Flint, in reviewing Doggle's recent results for the pension fund, sees Xerox in the portfolio. Xerox currently sells for \$52 a share. Flint looks across to the cost column and sees that Xerox was purchased for the fund at \$32 per share. "Terrific," Flint enthuses. "I couldn't have done